which are likely to affect the accounts of the company.

(b) **Articles of Association:** The Articles of Association deals with rules and regulations of the internal management of the company. The auditor has to examine the following particulars in the Articles of Association:

- Issue, allotment and forfeiture of shares and declaration of dividend.
- Appointment and removal of directors and officers of the company and the provisions relating thereto.
- Provisions regarding meeting and voting rights of share holders.
- Borrowing powers of company.
- Payment of interest on capital, under-writing commission and brokerage.
- The auditor has to make thorough study of the Articles of Association and he has to apply his skill and knowledge on various transactions of the company.

(c) **Prospectus:** A Prospectus is an invitation to the public to subscribe for shares and debentures of the company. It holds all the rules and regulations for the issue of shares. Normally all the matters which are in the articles of association are also found in the prospectus. The auditor should make a detail study in the following matters:

- He should verify the name, addresses, remuneration of directors and other statutory officers whose particulars are specified in the prospectus.
- He should see that all the statements made in the prospectus are true.
- He should examine in the prospectus that the amount payable at the time of allotment and call.
- He has to examine that any material contract made by the company within two years from the date of issue of prospectus.

(d) **List of Books:** Auditor should ask the company to submit a list of all the books of accounts, statistical and statutory books maintained by the company. Important books are kept at the Registered Office of the company.

(e) **Contracts:** The auditor has to check the date of agreement or contracts made by the company with other parties, like vendors, underwriters, promoters or brokers etc. Further, the auditor should verify whether the agreements are made by the authorized person of the company. He should see that entries relating to contracts are recorded correctly.

(f) **Minutes Book:** Every company has to maintain a book in order to record the proceedings in the general meetings, meetings of board of directors and committee of the board. They are in the form of a bound note book. The auditor has to verify that the chairman has certified the minutes book with date and signature. The audit of the Minutes Book helps the auditor in vouching various transactions e.g., adoption of the annual accounts, calls on shares, directors fees and expenses, appointment of first auditor and his remuneration and authorization of capital expenditure etc.

(g) **Certificate of Incorporation:** Certificate of Incorporation is an important document which brings the company into legal existence.

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